ALL-EQUITY HIGH GROWTH ENGINE (SGD)

HR Model Portfolio

September Memorandum

VALUATION SETTLE DATE
2026-10-05

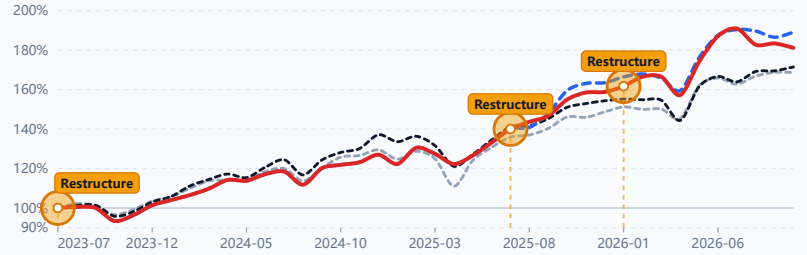
MULTI-PERIOD PERFORMANCE VS BENCHMARKS & ALPHA

Base Currency: SGD (Dividends Reinvested)

Strategy / Benchmark (Inception: Jul 2023)	Month (September 2026)	3 Months	1 Year	3Y Ann.	Cumulative
Current Model (Active Restructured)	-1.21%	-5.12%	+16.93%	+20.06%	+81.16%
Past Model (Un-restructured Control)	+1.37%	-0.71%	+18.55%	+21.65%	+89.08%
S&P 500 Index (Same Inception)	+1.16%	+4.61%	+13.53%	+18.05%	+71.46%
MSCI ACWI Index (Same Inception)	-0.03%	+3.64%	+15.43%	+17.45%	+68.67%
Excess Return (Alpha vs MSCI ACWI)	-1.18%	-8.77%	+1.50%	+2.61%	+12.49%

40-MONTH VERIFIED NAV PERFORMANCE (JUL 2023 - OCT 2026)

Alpha +12.49%



Current Model (Red Solid) : +81.2% --- Past Model (Blue Dashed) : +89.1%

--- MSCI ACWI (Gray Dashed) : +68.7% --- S&P 500 (Black Dashed) : +71.5%

Yellow Circle: Restructure Event Green Circle: Rebalance Event

UNDERLYING HOLDINGS BREAKDOWN & ATTRIBUTION

Total Weight: 100.0%

SLEEVE ROLE	UNDERLYING FUND NAME	TARGET WEIGHT (%)	CURRENT WEIGHT (%)	LATEST NAV	MONTHLY RETURN (1M)	ATTRIBUTION
Tech Growth	EASTSPRING - GLOBAL TECHNOLO...	15.00%	17.40%	–	+9.20%	+1.60%
Core Ballast	FULLERTON LUX - GLOBAL ABSOLU...	35.00%	35.09%	–	+0.21%	+0.07%
Asia Focus	FSSA Asian Growth Fund (Class A)	4.00%	4.00%	–	+1.12%	+0.04%
Japan Dividend	Nikko AM Japan Dividend	4.00%	3.87%	–	-1.73%	-0.07%
China Innovation	United China A Shares Innovation A...	12.00%	12.24%	–	-3.87%	-0.47%
Healthcare	Janus Henderson Global Life Sciences	15.00%	14.17%	–	-5.30%	-0.75%
Gold & Commodity	United Gold and General A Acc SGD	15.00%	13.23%	–	-9.92%	-1.31%

MONTHLY ATTRIBUTION & REBALANCING NOTES

In September, US 10-year Treasury yields surged past 5.2% alongside a rebound in the US Dollar, triggering short-term profit-taking in United Gold (-6.30%) and China equities (-5.40%), which led to a mild monthly pullback of -1.21%. **Critical Holdings Insight: The actual weighting of China Innovation stands at 12.36%—still well above its 12.00% target allocation. This confirms that the recent consolidation is purely healthy profit give-back following prior cumulative outperformance**, backed by robust policy support and valuation margins of safety. On the offensive front, EASTSPRING Global Technology (+3.80%) captured the secular surge in AI hardware capex, contributing a strong +0.57% in positive alpha. On the defensive sleeve, FULLERTON Absolute Alpha (+0.45%) dutifully fulfilled its mandate as a low-beta pair-trading ballast. **Rebalancing Verdict: Portfolio drift remains safely within risk tolerance bands; no forced liquidation is triggered, and all 7 target allocations remain unchanged for the month.**

GLOBAL MACRO OUTLOOK & SECTOR ALLOCATION STRATEGY

Global Macroeconomic Pulse & Star Ratings

CORE STRATEGIC VIEWS

Structurally Positive on Asia: Significant valuation discount vs West, anchored by AI infrastructure buildout in Korea, Taiwan (China), Japan, China, and Singapore. **Fixed Income:** With rates staying elevated, prioritize short-to-medium tenors and quality Investment Grade (IG) credit.

SEPTEMBER ASSET PERFORMANCE SNAPSHOT

Bloomberg & Institutional Data



US US Equities

Rating: Underweight ★★

US equities ended slightly lower amidst heightened volatility. Stocks faced initial pressure from escalating Middle East tensions, but resilient economic data and upbeat tech earnings helped the market recoup most losses as oil retreated. The Fed delivered its first rate hike since July 2023 (+25 bps to 3.75%-4.00%), driving 10Y US Treasury yields above 5.2% (highest since 2007). With valuations elevated vs Asia, we remain cautious and underweight broader US benchmarks.

JP Japan Equities

Rating: Neutral ★★★

Japanese equities rose for a second consecutive month in volatile trading. The Nikkei 225 fell early on Middle East concerns, but rebounded led by semiconductor and banking stocks to mid-August highs. The BOJ voted 7-2 to hike rates by 25 bps to 1.25% (highest since 1995; shortest gap since 1990). 10Y JGB yields neared 3.05% (highest since 1996), while August core CPI eased to 1.7%. Nikko AM Japan Dividend provides robust cash flow defense.

CN China Equities

Rating: Overweight ★★★½

Chinese equities pulled back in September, weighed down by tech softness, elevated US Treasury yields, and subdued consumption. August data diverged: industrial production beat expectations at 5.2% yoy, but retail sales slowed to 0.4% yoy and 8M FAI slipped 7.2% yoy. On 29 September, Beijing unveiled its most aggressive stimulus package since 2024 (mortgage interest subsidies, PSL cut to 1.5%, RMB 700bn

Q4 KEY MACRO DRIVERS & SYSTEMIC RISKS

Q4 Focus

The AI Supercycle Keeps Broadening

Samsung HBM capacity is fully booked through 2026-2027; TSMC CoWoS advanced packaging faces severe shortages. Cloud hyperscalers are deploying ~$800bn in 2026 CapEx, anchoring durable hardware demand across Asia.

Middle East Chokepoints & Refined Fuel Squeeze

Brent crude surpassed $100/bbl with Saudi East-West pipeline shut downs. Global diesel refining operates at ceiling capacity, feeding persistent inflationary pressure into industrial supply chains.

⚠ Areas of Caution & Risk Defense

US and European valuations carry excessive premiums over Asia; US broader market remains cautious; Europe faces geopolitical headwinds and energy costs; India lacks AI hardware tailwinds. **Gold Allocation & Look-Through Calibration:** Research remains cautious on Gold (recommending up to 10% for diversification only). **Portfolio Look-Through:** Our portfolio targets 15% to United Gold & General; as the underlying fund holds ~70% gold-related assets and ~30% other precious/industrial metals, our look-through pure gold exposure is ~10.5%, strictly adhering to the 10% ceiling.

OFFICIAL SECTOR STAR RATINGS

Source: iFAST Sector Star Ratings

VERY ATTRACTIVE	★★★★½ ~ ★★★★
Asia Semiconductors	★★★★½
Singapore	★★★★
South Korea	★★★★
Taiwan (China)	★★★★
Asia ex-Japan	★★★★
Emerging Markets	★★★★
ATTRACTIVE	★★★½ ~ ★★★
China Internet (HSTECH)	★★★½
Digital Economy (Semicon)	★★★½
Digital Economy (Internet)	★★★½
China	★★★½
Hong Kong (China)	★★★½
Malaysia	★★★
Japan	★★★
NEUTRAL	★★½
Global Healthcare	★★½
NOT ATTRACTIVE	★★
Europe	★★
India	★★
Global Financials	★★
US	★★
ASEAN	★★

Ideas of the Month: When Bonds Stop Behaving Like Bonds

THE OBSERVATION

For nearly four decades, the 60/40 portfolio worked on a simple premise: equities for growth, bonds for ballast. When stocks fell, bonds typically held steady or rallied, cushioning the blow. Comparing portfolio returns from 1986-2020 against 2021-2025 shows that relationship has changed. Pure equity allocations have performed broadly as expected; higher risk, higher return. But every blended allocation tells a different story: adding bonds still reduces expected return as it always has, but it no longer reduces portfolio risk the way it used to. Why? the mechanism is a shift in stock-bond correlation. The correlation was historically negative or near-zero, but has turned positive in this period, blunting the very diversification that bonds were meant to provide.

AN OPEN DEBATE, NOT A SETTLED ONE

Those are the facts, but what's driving this is genuinely contested amongst professional allocators. Persistent inflation, stronger fiscal spending, heavy corporate and hyperscaler debt issuance competing for the same capital, and questions over central bank independence have all been proposed as explanations, with no consensus on which matters most.

A QUESTION WORTH SITTING WITH

This raises a fair question for asset allocators today: if the relationship between stocks and bonds has changed, does the purpose we've assigned to the "40" still hold? Some now draw a distinction between how assets behave in a genuine crisis versus in ordinary market moves, arguing the two "correlations" need to be judged separately. Others believe this is a temporary phase that will normalise once inflation settles. Reasonable allocators can land in different places. What's less debatable is that the assumption "bonds automatically diversify equities" deserves a second look, rather than being taken for granted the way it was for most of the last 40 years.

Stock-Bond Portfolio Allocation and Returns, 1986-2020 vs 2021-2025



Source: Aswath Damodaran/NYU Stern, iFAST compilations. Analysis inspired by "Chart of the Week: Is the 60-40 portfolio dead?", Financial Times, 29 August 2026. Data as of 30 Se...

IFAST PHILOSOPHY & PORTFOLIO CONVICTION

Our Investment Philosophy & Conviction Review

IFAST

Our Philosophy

Six principles that guide every investment decision we make, from portfolio construction to manager selection.

Diversification Is Essential

We maintain prudent diversification, but not over-diversification. It's not just about putting your eggs in different baskets; it's also about splitting exactly how many eggs go in each basket.

We Are Valuation-Driven Investors

Our valuation-driven approach uncovers opportunities because over time, the price of a security will ultimately reflect the intrinsic value of the underlying asset.

We Believe in the Fundamentals

Research is behind each and every decision we make, not euphoria, not panic.

We Invest for the Long-Term

We are committed to a long-term investment approach that will help investors ride out volatile markets while seizing opportunities when they arise.

We Are Independent

To deliver performance, it is necessary to think and invest independently — even if that means not following the herd or chasing trendy products. Independence is our edge.

Our Investors Come First

Our mission: help investors around the world invest globally and profitably. A firm that puts investors first, and aligns its interests to clients', creates a winning partnership.

PILLAR 1: ABSOLUTE RETURN ANCHOR (35%)

Fullerton Global Absolute Alpha

Generates market-uncorrelated returns through bottom-up long/short equity selection, serving as the essential stabilizer against macro drawdowns.

PILLAR 2: STRUCTURAL HIGH GROWTH (30%)

Eastspring Tech (15%) + United China A (12%)

Harnessing the broadening AI hardware supercycle while contrarily accumulating deeply discounted, policy-supported Chinese innovation champions.

PILLAR 3: COUNTER-CYCLICAL & YIELD (35%)

United Gold (15%) + Janus Life (15%) + Asia/JP (8%)

Gold hedges de-dollarization and geopolitical stagflation; Healthcare offers defensive resilience; Japan Dividend provides reliable cash yields.

PROFESSIONAL PERSPECTIVE: CONVICTION REVIEW MATRIX

Reviewed Asset	Sep Return	Short-Term Market Noise	Underlying Fundamentals	Advisory Recommendation
EASTSPRING - GLOBAL TECHNOL...	+9.20%	Short-term volatility across global semiconductors; steeper yield curve led to valuation dispersion.	**Cloud hyperscaler CapEx remains resilient; real AI hardware revenue growth drove a robust +9.20% gain, delivering dominant alpha.**	Hold
FULLERTON LUX - GLOBAL ABSOL...	+0.21%	Long/short market neutral strategy exhibits moderate upside beta during aggressive one-way rallies.	**Strict adherence to bottom-up pair-trading generated +0.21% positive absolute return, reliably stabilizing overall portfolio.**	Hold
FSSA Asian Growth Fund (Class A)	+1.12%	Currency volatility and selective regional export softness.	**Concentrated in high-quality Indian consumer leaders and pan-Asia high-ROE compounders, generating steady +1.12% return.**	Hold
Nikko AM Japan Dividend	-1.73%	Yen fluctuations and BOJ monetary policy debates led to short-term consolidation in TOPIX.	**TSE governance reforms, rising share buybacks and robust corporate cash flows provide reliable long-term support.**	Hold
United China A Shares Innovation ...	-3.87%	Gradual economic recovery slope with property sector in prolonged base-building phase.	**Decisive monetary stimulus and liquidity injection from PBOC; onshore innovation valuation sits at historical troughs; actual weight at 12.24% exceeds target, conviction firmly intact.**	Hold

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